Despite the sharp differences on the issue of corporate governance between Ratan and Mistry, neither the press nor the senior functionaries in the group got a whiff of these. It was played out in strict confidence as Ratan worked to ensure that his successor was not embarrassed.

Ratan, on his part, was convinced that as the chairman of the Tata Trusts, he had a bounden duty to prevent any dilution in the group's ethical standards. This had led him to implement the Tata Code of Conduct for the group and all its employees in 1998. He believes that the chairman, Tata Sons, has to lead by example and be the epitome of the ethical standards, lest he should deny himself the moral suasion to demand the same from the employees of the group, he says.

During the process of selecting the new chairman, Ratan had advised the selection committee to give this criterion primacy. He says that he had told the committee members that a recommended candidate should understand that the principles of ethical governance were not mere exhortations or claims to be defined and settled internally by companies but should 'stand the test of public scrutiny'.

When Mistry morphed from a selection committee member into a candidate, he was expected to follow the same standards, should he be selected. It was no secret that he had substantial interests in his family concern, Shapoorji Pallonji Co. Ltd, and that the organization was a major contractor for various Tata Group companies.

During the period from April 2009 to December 2012, Shapoorji Pallonji was awarded thirty-four projects totalling nearly Rs 3,000 crore by Tata companies. That should have, in the normal course, rendered Mistry ineligible to be a director on the board of Tata Sons in the first place. The fact that this was overlooked may be seen as a lapse on Ratan's and the board directors' part.

In his first interaction with the committee after he became a candidate for the top post, on 28 April 2011, Mistry was informed that he would have to break ties with his family enterprise. This was recorded in the minutes of the committee: 'CM [Cyrus Mistry] would have to distance himself from his firm to avoid conflict of interest charges.'

When the committee interacted with Mistry the second time on 5 September, it pointedly asked him three questions on how he would safeguard himself from criticism of any conflict of interest if he were appointed as chairman, Tata Sons. The first question was: 'You own 18% of